



LAZY DOG

— CAPITAL —

COLLATERAL ASSIGNMENT OF NOTE AND DEED OF TRUST

(Securing the Capital Partner's First-Priority Interest)

REVISED DRAFT — requires attorney review before use. Dollar amounts and the return rate have been removed from this instrument because it is recorded in the public real property records. The economic terms live in the unrecorded Capital Partner Agreement.

NOTICE OF CONFIDENTIALITY RIGHTS: IF YOU ARE A NATURAL PERSON, YOU MAY REMOVE OR STRIKE ANY OR ALL OF THE FOLLOWING INFORMATION FROM ANY INSTRUMENT THAT TRANSFERS AN INTEREST IN REAL PROPERTY BEFORE IT IS FILED FOR RECORD IN THE PUBLIC RECORDS: YOUR SOCIAL SECURITY NUMBER OR YOUR DRIVER'S LICENSE NUMBER.

PARTIES

Effective Date: _____

Assignor: Lazy Dog Capital LLC, a Texas limited liability company

Assignor's Address: 3400 N Central Expy #110-217, Richardson, TX 75080

Assignee (Capital Partner): _____

Assignee's Address: _____

THE ASSIGNED LOAN

Promissory Note: That certain first-lien Promissory Note dated _____ in the original principal amount of \$_____, made by _____ ("Borrower") payable to the order of Assignor (the "Note").

Deed of Trust: That certain first-lien Deed of Trust of even date securing the Note, recorded (or to be recorded) in the Official Public Records of _____ County, Texas (the "Deed of Trust"), covering the property commonly known as _____ (the "Property"), more particularly described as follows:

Legal description to be taken verbatim from Schedule A of the title commitment and to match the Deed of Trust exactly.

RECITALS

A. Assignor has made, or will make, a first-lien loan to Borrower evidenced by the Note and secured by the Deed of Trust.

B. Assignee has provided, or will provide, capital to Assignor under a **Capital Partner Agreement of even date** between Assignor and Assignee (the "Capital Partner Agreement"), on which Assignee is entitled to a return as provided in that agreement. **The Capital Partner Agreement is not recorded and its economic terms are confidential.**

C. To secure Assignor's obligations to Assignee, Assignor has agreed to collaterally assign the Note and the Deed of Trust to Assignee, giving Assignee a first-priority right to payment as set out below.

1. COLLATERAL ASSIGNMENT

For value received, Assignor collaterally assigns, transfers, and sets over to Assignee all of Assignor's right, title, and interest in and to the Note and the Deed of Trust, together with all sums payable thereunder and all rights and remedies of the holder, as collateral security for the Secured Obligations defined below. This assignment is recorded in the real property records so that Assignee's interest is of public record.

2. SECURED OBLIGATIONS

This assignment secures **all obligations of Assignor to Assignee under the Capital Partner Agreement**, including Assignor's obligation to repay Assignee's capital contribution and to pay all accrued and unpaid return on it (together, the "Secured Obligations"). The amount of the capital contribution and the rate of return are stated in the Capital Partner Agreement and are not recited here.

Upon written request by any party with a legitimate interest in the priority or amount of the Secured Obligations — including any prospective purchaser, title insurer, or lienholder — Assignor and Assignee shall provide a written statement of the then-outstanding Secured Obligations.

3. FIRST-PRIORITY APPLICATION OF PAYMENTS

Notwithstanding that Assignor is the named payee of the Note, all amounts collected on the Note or realized from the Property — whether by regular payment, prepayment, payoff, sale, or foreclosure — shall be applied in the following order:

- a.** first, to the reasonable costs of collection, sale, or foreclosure, including trustee's commission and attorney's fees;
- b.** second, to Assignee, until the Secured Obligations are paid in full;

- c. third, to Assignor, for amounts owed to Assignor under the Note; and
- d. fourth, the remainder as required by law.

Assignee is paid in full before Assignor recovers any of its own capital or return.

4. SERVICING; AMOUNTS HELD IN TRUST

Assignor shall service the Note and collect all payments from Borrower. Assignor shall remit to Assignee the return due to Assignee within ten (10) business days after the end of each calendar month. Any amounts collected that are due to Assignee under Section 3 are held by Assignor in trust for Assignee and shall not be commingled with Assignor's general funds beyond what is reasonably necessary to service the loan.

5. ASSIGNOR'S COVENANTS

So long as any Secured Obligation is outstanding, Assignor shall not, without Assignee's prior written consent:

- (a) amend, modify, or subordinate the Note or the Deed of Trust;
- (b) release, reconvey, or accept a deed in lieu of foreclosure with respect to the Property, except in connection with a payoff that pays Assignee in full;
- (c) further assign or encumber the Note or Deed of Trust in a manner senior to or in parity with Assignee's interest; or
- (d) waive any material right under the Note or Deed of Trust.

6. NO MERGER

If Assignor acquires title to the Property by deed in lieu of foreclosure, foreclosure, or otherwise, **the Note, the Deed of Trust, and the lien created by the Deed of Trust shall not merge into the fee title acquired by Assignor.** They shall remain in full force and effect, separate and distinct from the fee estate, and this assignment shall continue to secure the Secured Obligations, until the Secured Obligations are paid in full.

7. RIGHTS ON ASSIGNOR'S DEFAULT

If Assignor fails to remit amounts due to Assignee when required, or otherwise defaults under the Capital Partner Agreement or this assignment, Assignee may, upon written notice to Assignor and Borrower:

- (a) direct Borrower to make all payments under the Note directly to Assignee;
- (b) exercise, in Assignor's name or its own, all rights and remedies of the holder of the Note and the beneficiary of the Deed of Trust, including the right to direct the Trustee to foreclose; and
- (c) apply all amounts recovered as provided in Section 3.

8. RELEASE ON PAYMENT IN FULL

Upon payment in full of the Secured Obligations, this collateral assignment terminates. **Within ten (10) business days after payment in full, Assignee shall execute and deliver to Assignor, at Assignor's expense, a Release of Collateral Assignment in recordable form,** and Assignor shall record it. If Assignee fails to deliver the release within that period, Assignor may record an affidavit of payment in full together with evidence of payment, and this assignment shall be of no further effect.

9. TRANSFER RESTRICTION

Assignee shall not sell, assign, pledge, or otherwise transfer its interest under this assignment without Assignor's prior written consent, as provided in the Capital Partner Agreement. Any attempted transfer without such consent is void.

10. NOTICES

Written notice to the addresses shown above, by certified mail return receipt requested, overnight courier, or hand delivery. Notice is effective on the earlier of actual receipt or three (3) days after mailing. Either party may change its address by written notice.

11. GENERAL

This assignment is governed by the laws of the State of Texas and binds and benefits the parties and their successors and permitted assigns. It may be executed in counterparts. **The original executed and acknowledged counterpart shall be recorded.**

EXECUTION

ASSIGNOR — LAZY DOG CAPITAL LLC

By: _____

Name: Lewis McKnight Title: Manager

By: _____

Name: Stephen Maner Title: Manager

Date: _____

ASSIGNEE — CAPITAL PARTNER

By: _____

Name: _____

Title, if signing for an entity, trust, or custodian: _____

Date: _____

ACKNOWLEDGMENT

STATE OF TEXAS §

§

COUNTY OF _____ §

This instrument was acknowledged before me on _____ (date), by **Lewis McKnight** and **Stephen Maner**, Managers of Lazy Dog Capital LLC, a Texas limited liability company, on behalf of said limited liability company.

Notary Public, State of Texas

My commission expires: _____

(Notary seal)

AFTER RECORDING, RETURN TO:

Lazy Dog Capital LLC

3400 N Central Expy #110-217

Richardson, TX 75080

Lender retains the recorded original and delivers a copy, with recording information, to Capital Partner.